International Financial Reporting

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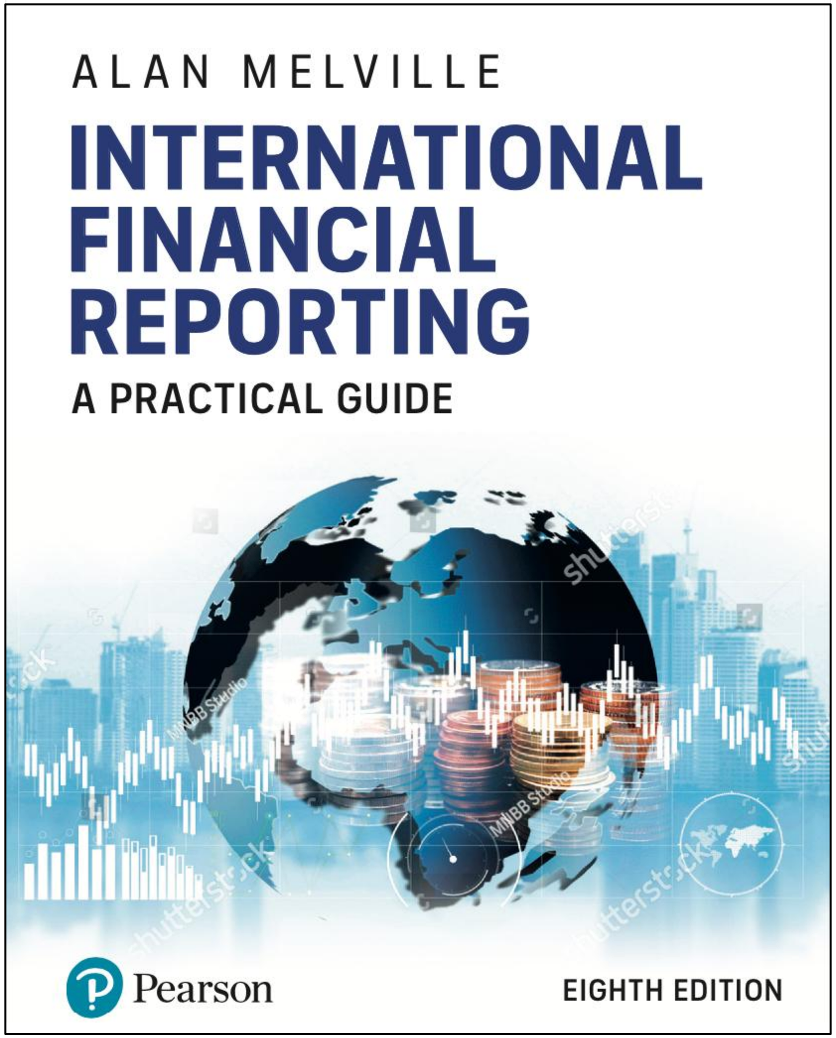

Chapter 5

Property, plant and equipment (IAS16, IAS23, IAS20, IAS40)

Overview

- Property, plant and equipment (IAS16):
  - definition
  - recognition
  - initial measurement
  - subsequent measurement
  - depreciation
  - disclosure requirements
- Borrowing costs (IAS23)
- Government grants (IAS20)
- Investment property (IAS40)

Definition of property, plant and equipment

IAS16 defines property, plant and equipment as "*tangible items that:*

(a) *are held for use in the production or supply of goods or services, for rental to others, or for administrative purposes; and*

(b) *are expected to be used during more than one period.*"

This definition covers the majority of the tangible non-current assets that might normally be held by a business entity.

Recognition of property, plant and equipment

An item of property, plant and equipment should be recognised as an asset if and only if:

(a) it is probable that future economic benefits associated with the item will flow to the entity concerned, and

(b) the cost of the item can be measured reliably.

Routine servicing, repair and maintenance costs are not capital expenditure. But the cost of major replacements should be treated as capital expenditure and recognised as an addition to the carrying amount of the asset concerned.

Initial measurement of property, plant and equipment

On initial recognition, property, plant and equipment should be measured at cost. Cost includes:

- purchase price, including import duties and non-refundable purchase taxes, less trade discounts
- costs that are directly attributable to bringing the item to the location and condition necessary for it to be operated as intended
- the estimated costs of dismantling and removing the item and restoring the site on which the item is located, as long as the obligation to meet these costs is incurred when the item is acquired

Subsequent measurement of property, plant and equipment

After initial recognition, items of property, plant and equipment may be measured using either:

- **The cost model**; items are carried at cost less any accumulated depreciation and less any accumulated impairment losses.
- **The revaluation model**; items are carried at fair value at the date of revaluation, less any subsequent accumulated depreciation and less any subsequent accumulated impairment losses.

If the revaluation model is used it must be applied to entire classes of property, plant and equipment.

Revaluation gains and losses

In general, revaluation gains and losses are accounted for as follows:

- revaluation gains are credited to a revaluation reserve and recognised as other comprehensive income
- revaluation losses are recognised as an expense in the calculation of profit or loss

The situation is more complex if an item is revalued upwards after a previous downwards revaluation (or vice versa).

Depreciation

IAS16 defines depreciation as "*the systematic allocation of the depreciable amount of an asset over its useful life*".

Depreciable amount is "*the cost of an asset, or other amount substituted for cost, less its residual value*".

Residual value is "*the estimated amount that an entity would … obtain from disposal of the asset, after deducting the estimated costs of disposal…*".

Useful life is "*the period over which an asset is expected to be available for use by an entity …*".

Purpose of depreciation

The sole purpose of charging depreciation is to allocate an expense between accounting periods. In particular:

- The depreciation process makes no attempt to show assets at their current values.
- Charging depreciation does not guarantee that there will be funds available to replace assets when they come to the end of their useful lives.

Review of residual values and useful lives

The residual value and useful life of property, plant and equipment should be reviewed at least at the end of each financial year.

If expectations differ from previous estimates, these should be accounted for as a change in an accounting estimate in accordance with IAS8.

The asset's depreciable amount is revised to reflect any change in residual value and then this amount is allocated as depreciation over the remainder of the asset's expected useful life.

Depreciation methods

The depreciation method chosen in relation to an item of property, plant and equipment should match the usage pattern of that item.

Available depreciation methods include:

- the straight-line method;
- the diminishing balance method;
- the units of production method.

Review of depreciation methods

The depreciation method applied to an item of property, plant and equipment should be reviewed at least at the end of each financial year. If the usage pattern of the asset has changed, the depreciation method should be changed accordingly.

A change in depreciation method is accounted for as a change in an accounting estimate in accordance with the requirements of IAS8.

Main disclosure requirements of IAS16

For each class of property, plant and equipment:

- the measurement bases used;
- the depreciation methods used;
- the gross carrying amount and accumulated depreciation at the beginning and end of the accounting period;
- a reconciliation of the carrying amount at the beginning and end of the period, showing additions, disposals, revaluation increases and decreases, depreciation, impairment losses and any other movements.

Borrowing costs

IAS23 defines borrowing costs as "*interest and other costs that an entity incurs in connection with the borrowing of funds*".

Borrowing costs that are directly attributable to the acquisition, construction or production of a "qualifying asset" must be capitalised as part of the cost of that asset.

Other borrowing costs are recognised as an expense in the period in which they are incurred.

Qualifying assets

Qualifying assets are those which take a substantial period of time to get ready for use or sale.

The capitalisation of borrowing costs should begin when:

(a) expenditure is being incurred on the asset;

(b) borrowing costs are being incurred, and

(c) activities are in progress that are necessary so as to prepare the asset for its intended use or sale.

Capitalisation ends when substantially all of the activities necessary to prepare the asset for its intended use or sale are complete.

Government grants (IAS20)

- Government grants should be recognised in profit or loss "*over the periods in which the entity recognises as expenses the related costs which the grants are intended to compensate*".
- Therefore a grant for the acquisition of an asset should be recognised when calculating profit or loss for the periods in which depreciation is charged on that asset.
  - The grant may be credited to a deferred income account and then systematically transferred to the statement of comprehensive income over the useful life of the asset, or
  - The grant may be deducted from the carrying amount of the asset. This will result in reduced depreciation charges over the asset's useful life.

Investment property (IAS40)

Investment property is property (land and buildings) which is "*held ... to earn rentals or for capital appreciation or both, rather than:*

(a) for use in the production or supply of goods or services or for administrative purposes; or

(b) for sale in the ordinary course of business".

Measurement of investment property

Initial measurement is at cost. Subsequently, investment property may be measured using either:

- **The fair value model**; the property is carried at fair value; gains and losses on adjusting fair value are recognised in the calculation of profit or loss.
- **The cost model**; the property is carried at cost less any accumulated depreciation and less any accumulated impairment losses.